

May 22, 2026 05:00 AM GMT

HSBC Holdings | Asia Pacific

Research Tactical Idea

We believe the share price will rise relative to the industry over the next 30 days.

Post the HSBC Asia Seminar in Hong Kong, we see potential earnings upside to Wealth and CIB fees. Flows into Hong Kong – whether via new to bank customers in Wealth, Asian trade flows, or RMB internationalization – paint a 'stronger for longer' growth picture for HSBC in the region. On top of that, a simplified and more agile structure makes 20% ROTE increasingly likely by 2028E.

We estimate that there is about a 70% to 80% (or "very likely") probability for the scenario.

Estimated probabilities are illustrative and assigned subjectively based on our assessment of the likelihood of the scenario.

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HSBC Holdings (0005.HK, 5 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$155.20
Up/downside to price target (%)	10
Shr price, close (May 21, 2026)	HK\$141.70
52-Week Range	HK\$148.00-90.90
Sh out, dil, curr (mn)	17,294
Mkt cap, curr (mn)	US\$312,978
EV, curr (mn)	US\$320,419
Avg daily trading value (mn)	HK\$1,834

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Valuation Methodology and Risks

HSBC Holdings (0005.HK)

Our PT is based on a probability weighted methodology (bull 30%, base 65%, bear 5%, based on the likelihood of different macro outcomes). Scenario values are based on a 3-stage Gordon Growth Model adding the NPV of 5 year forecast dividend, to the NPV of 10 year implied dividends during a fade period and a terminal book value. We assume a CoE of 10% and terminal growth rate of 2.5%.

Risks to Upside

- Delivery of sustained positive cost:income jaws
- Stronger than expected wealth growth
- Rates higher than expected
- More capital returns if the group decides it can move to <14% CET1 ratio in longer term

Risks to Downside

- Slower than expected global growth drives increased credit risk
- China macro risks resurface
- Heightened geopolitical and tariff tensions
- Rates fall by more than expected

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

HSBC Holdings (0005.HK) - As of 05/22/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 5/1/21 : E/C; 10/17/22 : 0/I; 10/8/25 : NA/I; 12/14/25 : NA/I; 1/13/26 : 0/I

Price Target History: 2/24/21 : 46; 8/5/21 : 48; 10/25/21 : 50; 12/2/21 : 50.4; 1/16/22 : 55.1; 2/16/22 : 58.2; 2/22/22 : 59; 8/1/22 : 61.3; 10/17/22 : 59.8; 2/21/23 : 64.4; 4/18/23 : 65.2; 5/2/23 : 67.5; 8/1/23 : 72.2; 10/30/23 : 72.9; 12/12/23 : 78.4; 1/11/24 : 79.2; 4/30/24 : 79.9; 7/8/24 : 77.6; 7/31/24 : 78.4; 10/7/24 : 76.8; 1/4/25 : 84.6; 2/19/25 : 92.3; 4/9/25 : 83; 5/21/25 : 90; 7/30/25 : 107.1; 10/8/25 : NA; 1/13/26 : 138.1; 2/25/26 : 149; 5/5/26 : 150.5; 5/13/26 : 155.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Nick Lord		
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HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$141.70
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$200.60
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$407.40

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